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2. The Foreign Local » Balikbayans, Overseas Filipino Workers, and the Return Economy

Can we imagine the U.S. as an extension of the Philippines?
—Catherine Ceniza Choy, "Towards Trans-Pacific Social Justice"

During the spring of 2008, while stepping outside to exit a ferry in the provincial capital of Iloilo, I was politely ushered aside as two deckhands carted a thirty-two-inch plasma screen television from within the boat's hull. It was attached to two almost equally gigantic cardboard boxes, strung efficiently together with a single pink plastic cord. As the men hauled the boxes in my direction, it was easy to distinguish the names and logos printed on each box: "Sony," "DVD player," "amplifier," and "speaker."

Just ahead of me, a voice shouted loudly from beneath a wide-brimmed hat, "Ingat! Ingat! [Be careful! Be careful!] Bring it down slowly. My husband will get the car to meet you." A diminutive Filipina stood at the edge of the landing, directing the two men and speaking with the characteristically balikbayan habit of interspersing broken Tagalog with perfect English phrases. Her hands moved so demonstratively that the gold bracelets wrapped around each of her wrists clanged together, ringing out sharp dissonant noises.

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"How many of these do you think we'll carry this year?" grunted one of the men in Ilongo as he weaved beside me. "It's only September, so only God knows how many we will carry by the time this year's over," the other man laughed. I was captivated by the spectacle. My gaze fixed on the two deckhands as they gracefully made their way across the poorly built, three-piece wooden plank that bridged us to the port. Both men were careful not to drop the prize as the third member of the scene waited impatiently at the bottom of the steps, carefully directing each of the deckhands' movements with her hands and loud voice.

Discussing the intertwining linkages of transnational capital that web together nationalist sentiments within the Philippines, Vicente L. Rafael (2000, 204) eloquently suggests that the "labor of mourning . . . tends to bring forth the uncanny nature of capitalist development itself on which the nation-state depends. The moral economy of grieving is persistently haunted by the circulation of money." The juxtaposition of the wreckage left by Typhoon Fengshen in 2008, one of the most devastating storms to hit the provincial capital, Iloilo City, in recent years, with the image of the two young Filipino men hoisting the weight of that very expensive home entertainment system atop their slight frames became nonsensical to the point of absurdity. Yet regardless of the confounding nature of this conspicuous consumption that functioned as a means of relief from the havoc and devastation that Fengshen had wreaked, the basic necessities of money, food, and clothing were hardly the only items sent by concerned family members abroad.

Relief to ailing families left homeless by the storm, or for those mourning loved ones who had drowned during the flood, came in a myriad of forms. Family members living abroad dutifully and with tremendous compassion sent washing machines, microwaves, refrigerators, and, once in a while, even entire entertainment systems.

This chapter expands the scholarly gaze, which tends to be fixated on the role remittances play throughout the Philippines, by turning its lens toward those who send them, specifically balikbayans. The vast majority of the literature on remittances tends to focus on their impact on the local populations receiving them (see, for example, Eckstein and Najam 2013). This makes sense. Remittances have impacted every dimension of social and political life in the Philippines. Data imprecisely extrapolated from figures released by the Bangko Sentral ng Pilipinas (BSP 2014), or the Philippine

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National Bank, suggest that over the past three decades remittances have constituted between 8 and 10 percent of the country's overall economy. When one makes one's way to the edges of Iloilo City, for example, the structural significance of remittances takes on a much larger scope. A year after Fengshen, the typhoon's impact vividly lingered in the numerous mud-filled roads yet to be repaved, the parks so devastated by flooding that they looked like unfurled sheets of tattered grass, and the shrubbery still left uncollected. Amid this destruction, one begins to make sense of plasma screen televisions and home entertainment systems beyond their consumptive façade. Remittances perform the labor of the state, rebuilding infrastructure and lives after moments of crisis.

Remittances provide a crucial means of understanding transnational ties for various reasons. These practices help elucidate the manner in which migrant communities continue to be threaded together by a common desire to maintain their connections with their homeland (see Glick Schiller, Basch, and Szanton Blanc 1995; Basch, Glick Schiller, and Szanton Blanc 2005). These flows also provide a framework for examining how the nation-state attempts to reincorporate citizens and nationals living abroad for the purpose of developing its national economy (Lessinger 1995). The transnational social field constituted by the material culture of obligation and kinship ties provides a conceptual tool to comprehend the sociohistorical circulation enabling return migration from cities like Daly City back to the Philippines.

Yet the impacts of remittances stretch far beyond the geographic boundaries of the Philippines. They also transform the communities and families of those sending them. This chapter focuses on how the institutionalization of remittance circulations over the course of multiple decades has reconfigured Filipinos who settle abroad as simultaneously foreign and local, or "foreign Filipinos." Furthermore, it articulates the physical coherency embodying the relationships that help facilitate the balikbayan economy. The ambivalent definition of balikbayans is historically rooted in the asymmetry that continues to characterize the relationship between Filipinos who successfully settle abroad and their homeland. The term is a direct result of former dictator of the Philippines Ferdinand Marcos's Balikbayan Program of 1973 and is sustained by the contemporary assemblage of policy makers, media corporations, and multinational property developers invested in maintaining Filipinos living abroad as foreigners in order to enable the transformation of the Philippines into a competitive global economy.

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In the United States, regardless of how long most Filipinos have lived away from the Philippines, and whether or not they have family members who are living with them, or have made considerable investments within their host country, the generation of Filipino Americans who migrated after 1965 continues to uphold their obligations to family members and relatives in the Philippines through sending remittances (Menjivar et al. 1998). Furthermore, as first-generation Filipino immigrants in the United States wait to be reunited with their family members living in the Philippines, the financial support they send back home is the "repeated turning" described by Benito Manalo Vergara (2009).

According to data from the BSP (2014), Filipino Americans are the largest senders of financial remittances to the Philippines among overseas Filipinos. In 2005 their combined remittances reached almost $6.5 billion. By 2014, however, that figure jumped to a record-high $10.4 billion. Financial remittances sent by Filipinos living in the United States are indeed significant, their financial worth at least double that of remittances sent from the Middle East or other parts of Asia (Nikolits 2015). In order to make sense of the balikbayan's foreign-Filipino status, this chapter seeks to move beyond conceptualizing remittances as financial instruments of economic development. Rather, remittances directly reconfigure balikbayans into ambivalently regarded figures within the cultural fabric of everyday life in the Philippines.

Remittances, either the actual money or the gifts brought back by Filipinos living abroad, what are called *pasalubong*, provide the necessities and productive labor that the state relies on so that it can shirk its basic civic responsibilities. Most balikbayans see themselves as repaying their debt to their families and doing their duty by sending remittances and pasalubong to the Philippines, rather than enabling a kind of economy of excessive luxuries and conspicuous consumption. These reciprocal circulations, which are corporeally represented by Filipinos migrating abroad and sending remittances back to the Philippines, do not simply signify the desire of hundreds of thousands of Filipinos to leave the Philippines each year and live somewhere else, say, the United States. These circulations, which together structure and maintain the balikbayan economy, convey, in a very real sense, the Philippine nation-state's relinquishing of various responsibilities. They are evidence of the failure of the Philippine government to provide the most basic amenities that might allow its citizenry to experience success within the Philippines in the first place.

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The Balikbayan Program

Along with the decades of financial and material remittances sent by Filipinos living abroad, balikbayans returning to the Philippines to visit or resettle have themselves come to embody the balikbayan economy. Recent figures from the Department of Tourism in the Philippines show that, of the over three million tourists who visit the country each year, roughly one-fifth are Filipinos living and working abroad (Bernal 2014). These Filipinos are generally referred to as *balikbayans*. The official definition of a balikbayan, set forth by the Republic of the Philippines Bureau of Immigration (2016), is "Philippine nationals who are permanently residing abroad. . . . [It] also refers to those of Filipino descent who acquired foreign citizenship and permanent status abroad." Furthermore, Republic Act No. 9174 officially demarcates balikbayans into three separate categories:

> 1. *Returning Resident*: a Filipino citizen who has gone abroad for at least one year and is now returning.
> 2. *Overseas Filipino Worker (OFW)*: a Filipino citizen who has worked in a foreign country under an employment contract issued in the Philippines for more than six months and is now returning.
> 3. *Former Filipino*: a former or current Filipino citizen who has acquired foreign citizenship abroad, and has resided in that country for over six months, and is now returning to resettle.

These legal classifications contrast sharply with the local usage of the term, in which it commonly refers specifically to Filipinos who have settled in countries throughout the Global North, including Canada, the United Kingdom, Australia, and most especially the United States.

Balikbayans are unique owing to the manner in which they link the Philippine nation-state to flows of global capital and economic development. Filipinos visiting their homeland or attempting to repatriate to their homeland, along with their children, are entitled to a set of special benefits and privileges once they arrive in the Philippines. These legal privileges include exemptions from travel taxes, visa-free entry into the Philippines for a period of one year for Filipinos with foreign passports, and tax-free shopping at any duty-free shopping center for a limited quantity of goods. These incentives are designed to encourage Filipinos living abroad to visit or return to the Philippines and to invest money and capital in the tourism sector as well as in the local economies.

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The term *balikbayan* was originally reengineered by Marcos as a means of enticing Filipinos living abroad to not only visit their homeland but also invest in the country's economy. As a result of Marcos's declaration of martial law in 1972, the status of the Philippines, once the benchmark for democratic rule and economic success in Asia during the 1960s, quickly declined in the eyes of the international community. And, with this, the number of Filipinos visiting or returning to the Philippines plummeted.

As a means of restoring the country's social and political reputation, and eventually restarting the country's tourist industry, the Philippine government adopted the Balikbayan Program in 1973. In 1970 there were already 343,060 Filipinos living in the United States. That number had increased dramatically by 1980, to 781,894, owing largely to changes in immigration policies, service in the U.S. Navy, and increased employment opportunities, particularly in medical fields. Marcos believed that these former and current Filipino citizens were the key to economic recovery in the Philippines. Government departments and local agencies worked together with foreign consulates and embassies to advertise to Filipinos living abroad and to encourage them to visit the Philippines during the Christmas season, which stretched from the Catholic holiday of All Saints' Day on November 1 to Epiphany on January 6.

The result was a massive advertising campaign that included the publication and distribution of hundreds of thousands of booklets titled "Invitation to a Traditional Philippine Christmas." Schoolteachers in the Philippines encouraged their students to write to their extended family members working abroad to entreat them to return during the holidays. Government departments assisted local agencies to host festivals to celebrate the success of Filipinos who returned to their home provinces. Most important, customs agents were mandated to provide balikbayans with tax exemptions, and the Philippine Airlines issued discounted rates for airfares to the Philippines.

As a result of the Balikbayan Program, nearly a million Filipinos and their families returned to the Philippines to visit and tour their homeland in the following decade. The increasing number of balikbayan visitors encouraged governmental officials to establish other related programs. For instance, the Balik-Scientist Program was adopted in 1975 to provide Filipinos skilled in scientific research with job placements, and the Balik-UP Program was created in 1978 to encourage alumni from the University of the Philippines, the most prestigious university in the Philippines, to visit

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the Philippines and share their achievements abroad with local schools and colleges. While these programs ended up costing the government, or, more specifically, the local population through taxes, the Philippine government achieved its original goal of raising its political profile internationally.

The success of the program led the government to issue special resident visas for balikbayans. The legal exemptions associated with these visas served to reinforce long-held notions that living and working in developed countries like the United States sets Filipino migrants apart from Filipinos living in the Philippines both economically and socially. By virtue of their working and even permanently settling abroad, there is a shift in their perceived status in the country where they were born. Consequently, balikbayans are neither compatriots nor foreigners in the eyes of local Filipinos living in the Philippines. In 1989 Corazon Aquino passed the Balikbayan Law (Republic Act No. 6768), which extended various exceptions for balikbayans. Along with tax exemptions at designated shopping centers and discounted fares for travel, balikbayans, as former citizens of the Philippines, were now allowed to purchase land.

This allowance is of particular significance since individuals with foreign passports have historically been restricted from buying land in the Philippines. This law allows balikbayans to buy up to fifty-four thousand square feet of property in designated urban areas and up to seven and a half acres of land in rural areas. Massive townships have been built over the past decade to cater to balikbayans, as well as other foreigners. Aided by the Special Resident Retiree's Visa (SRRV), balikbayans desiring to retire in their homeland not only can purchase property situated in luxurious, U.S.-modeled barangays (towns) but are also afforded special incentives that allow them to continue working and investing in the Philippines after they have officially retired.

By 1996 balikbayans were legally entitled to up to US$1,000 of duty-free goods (provided that these items were bought within the first forty-eight hours after their arrival); the privilege of visa-free entry into the country for up to one year; the ability to bring with them two balikbayan boxes (the limitations on size and weight varies, depending on the airline carrier), which are also completely duty-free; and various other travel tax exemptions and promotions.

Without exception, every subject who participated in my fieldwork in the United States maintained ties to the Philippines by sending remittances or by visiting their homeland. In addition to the three remittance

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centers devoted to sending money specifically to the Philippines that lay along Mission Street in Daly City alone, a number of banks and postal services offer expedited services for Filipinos to send money or boxes back to the Philippines owing to the high demand for such amenities. In 2000 the BSP reported that US$6 billion was sent through formal banking channels, making up 7.6 percent of the Philippines' gross national product (Matejowsky 2012, 316). In 2004 the BSP reported that Filipinos working in the United States sent the highest percentage of remittances to the Philippines, followed by those in the Kingdom of Saudi Arabia, Italy, Japan, the United Kingdom, Hong Kong, Singapore, Dubai, Germany, Kuwait, and Abu Dhabi. By 2010 the total amount of financial remittances being sent to the Philippines through the banking system or remittance centers represented approximately 13.5 percent of the country's gross national product (Matejowsky 2012, 316). Recently, remittance sending has increasingly been facilitated by various smartphone apps offered by traditional banks and money-sending services like Western Union. These apps allow users to send money more efficiently by foregoing in-person visits to banks and remittance centers.

Furthermore, foreign investment from Filipinos living abroad was facilitated by the passage of the Foreign Investments Act of 1991 (Republic Act No. 7042), which spelled out the procedures and conditions under which non-Philippine nationals, including former Filipino citizens, may invest and do business in the Philippines, and explicitly required paid-in capital of at least US$200,000. These investments were also carefully managed; state policy mandated that this capital would have to be invested in cooperatives, rural banks, thrift banks, private development banks, and financing companies in order for non-Philippine nationals to qualify for the same treatment as citizens.

Along with these investments, the Philippine state encourages the exchange of information, or the investment of knowledge, between Filipinos working and living abroad and Filipinos in the Philippines. According to the Commission on Filipinos Overseas *Handbook* (2005, 11), "various opportunities are available for Filipinos overseas to visit the Philippines and share expertise with local counterparts through lectures, workshops, and other volunteer work. These avenues include the Balik-Scientist Program of the Department of Science and Technology, Exchange Visitor Program of the Commission on Filipinos Overseas, and other exchange programs conducted by Filipino associations overseas in the Philippines. Aside from these

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activities, partnerships for research or special projects are being encouraged between Filipinos overseas and local counterparts to pass on new knowledge or develop indigenous technology."

Balikbayans provide the lubricating element that has enabled a distinct set of foreign investments—banking, telecommunications, and property markets—to become propelled into action. The returns produced by balikbayans have transformed them into key actors within the transformation of the Philippine economy, their presence marked in the transformation of major cities and provincial townships throughout the Philippines. Financial remittances, and the property investments they accompany, are driving these transformations.

The Labor of Remittance Sending

The imaginative labor propelling the balikbayan economy, what Neferti X. M. Tadiar (2004) describes as the generative force of "fantasy production," is driven by a deep ambivalence, held by most Filipinos in the United States, that returning to the Philippines will always be possible.[1] It lingers, stretched out like a lifeline, providing an unconscious sense of security while Filipinos journey together as strangers in the United States and other parts of the world. This sentiment materializes itself as waves of remittances, which have been propping up the Philippine economy for decades. Politicians and the media conspire to continually reanimate the circulation of remittances through a nationalist discourse that binds Filipinos in the diaspora to their homeland through contraptions of patronage tied together by feelings of intense indebtedness (utang ng loob).[2]

While the Philippine state concedes some of its sovereignty to the corporations that purchase the labor of its citizens working abroad, it also consolidates its sovereignty by producing migrants as "citizen-workers." According to Robyn Rodriguez (2010), the Philippine state "asks its citizens to live abroad and give themselves over to foreign employers. Simultaneously, the Philippine state attempts to secure migrants' sustained linkages with the Philippines as citizenship, because it is their continued linkages to the Philippines, especially in the form of remittances, that is vital to ensuring that migration remains profitable to the state" (19). Remittances have become integral to Philippine governmentality. In 1983 Marcos issued Executive Order 857, mandating that 50–80 percent of workers' salaries be remitted through Philippine banking systems and decreeing that OFWs

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would face punitive measures if they failed to remit their earnings through legitimate channels (Gibson and Graham 1986). Since then, the influx of capital through the export of labor and the remittances carefully infused into sectors of the country's economy has been so strong that it continues to be a major element of the Philippine economy.

Remittances sent by balikbayans, particularly temporary Filipino migrants, constitute the majority of foreign capital flows into the Philippines. These remittances function as a surrogate for much of the welfare that the state neglects or refuses to provide. The amount of capital contributed by Filipinos working abroad, through their remittances, is double the contributions of foreign direct investment. When combined with the role remittances play in augmenting the country's foreign-exchange requirements and paying off external debt, "these results indicate the Philippine state and economy is more dependent on the earnings of overseas workers than it is on foreign investments and foreign loans" (Ball 1997, 1615). By 2005, around 30 percent of households in the Philippines were subsisting on remittances sent by relatives working overseas (Bello 2005). Recent figures from the BSP (2009) convey the significance of financial remittances, reporting a sharp rise from $7.6 billion in 2003 to $17.3 billion in 2009. Over the past ten years, the flow of remittances has constituted 10–13 percent of the Philippines' total gross domestic product. The World Bank (2015) estimated that about $24.3 billion was being sent back to the Philippines each year throughout formal and informal channels.

These remittances, in their various forms, provide Filipinos in the Philippines with numerous everyday resources: funds for utilities, tuition, and food for family members, as well as for school uniforms or textbooks. Furthermore, in times of disaster, for example, the perennial destruction precipitated by typhoons or flooding, Filipinos in the diaspora often shoulder the responsibility for ensuring the welfare of their families and hometowns. Philippines news media are rife with tales of government incompetency when dealing with these events; stories of government corruption and the misuse of international aid abound.

Remittance money, clothing, and other goods assume the accountability for welfare, from which the state often shirks. When responding to the criticism that the government has come to rely on remittances, Vivian F. Tornea, a director at the Overseas Workers Welfare Administration, one of the arms sending Filipino labor abroad, casually responded that the financial contributions paid by remittance money to building public infrastruc-

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ture "were simply 'payback' because [overseas workers] did not pay income taxes" (quoted in Onishi 2010b). Apart from functioning as a source of welfare for Philippine citizens, the flow of remittances also provides relief for domestic unemployment. This in turn releases government agents from the responsibility to provide jobs within the Philippines, particularly in rural regions where rates of unemployment are dire (Aguilar 1996).

For some privileged families, remittance money also drastically restructures elements of everyday living by offering greater security and upward mobility (Faier 2013). Describing observations of several rural communities throughout the northern provinces of the Philippines, Deirdre McKay (2006, 266) explains how remittances reshaped aspects of the landscape, labor patterns in the region, and local conceptualizations of progress, which, "in [the local Filipinos'] terms, was made visible through intensified patterns of consumption and enhanced local and national mobility, especially via transport and communications technologies." Other accounts describe more undesirable effects of remittances, including the dependency on care chains and rising costs, not only in the larger cities but in the provinces as well (Parreñas 2012). For example, in Mabini, a province of Batangas, the sending of remittances, which have subsidized many of the improvements to local homes, has also led to higher tuition fees for private schools, including Santa Fe Integrated School. According to the journalist Norimitsu Onishi (2010b), 80 percent of the 250 students studying at the private school are children of overseas workers, allowing school administrators to rationalize raising the tuition well above the average cost of other schools in the region.

Remittances also provide a buffer against the seemingly ever-increasing debt that fetters the Philippine economy to the whims of global interest rates. The annual level of remittances is roughly equivalent to the annual interest payable on the nation's sizable foreign debt (E. Rodriguez 1998). This source of perennial capital provides a crucial shelter for the country's economy, particularly in periods of economic crisis, such as that experienced in 1997. While state agents have veered away from making claims about the exact level of dependency that remittances enable, Labor Secretary Marianito Roque expressed the importance of the remittance system, explaining that "the flow of overseas worker money in an unstable global economy demonstrates the resiliency of the Filipino people." Roque continued, "Under the worst circumstances, our workers are getting jobs and sending home more money than ever. They are keeping the boat stable"

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(quoted in Glionna 2009). Again, remittances are viewed as the lifeline securing the financial economy against collapse during another period of massive economic crisis.

Aside from issues of governmental neglect and migrants' feelings of indebtedness, there are a number of concrete explanations for the increases in remittances sent by Filipinos working overseas over the past decade. The first involves the tremendous increase in Filipinos departing for employment outside of the Philippines. Currently, more than 7.75 million Filipinos are laboring outside of the Philippines in various sectors. This number has increased by more than a million since 1996. Another factor involves changes in skill levels among OFWs. Starting in 1995 and continuing well into 2015, the number of deployed Filipino workers rose significantly owing to increased opportunities in the service sector (e.g., medical services and health care, information technology, and food and hotel services). Finally, as already discussed, the BSP implemented several changes allowing for the efficient transfer of money from foreign countries to the Philippines.[3] The BSP improved access to financial services by establishing remittance centers across the globe. It also ensured the transferability of funds to Filipinos living in remote areas of the country by backing sending corporations like Western Union and MoneyGram. Overseen by the Philippines Overseas Employment Administration, the government arm in charge of organizing and supervising the export of Philippine labor abroad, various programs have been developed to assists OFWs and their families to increase their savings and investments.

In 2007 Metropolitan Bank and Trust Company (Metrobank), the largest bank in the Philippines, partnered with Xoom.com to allow Filipinos to send money electronically via the Internet and enable beneficiaries to claim the funds in a number of Philippine banks. Through a partnership between Banco de Oro and the SM group, the largest retailing conglomerate in the Philippines, Filipinos can not only exchange various currencies into pesos at any SM Supermall but also claim remittances there. The BSP has reacted positively to property investments by Filipinos living abroad. The BSP has partnered with real estate corporations to provide overseas Filipinos with an alternative to sending remittance money by directly managing their money through bank loans for condominiums or housing lots. Furthermore, the increase in government intervention appears to be having a positive effect on consumer confidence in the Philippine banking system. More than in the past, Filipinos remitting from various places abroad are

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sending their money directly through banks in the Philippines. The BSP (2014) claims that of the US$14.7 billion remitted by overseas Filipinos in 2014, 95 percent of the funds were sent directly through the country's banking system, in contrast with 72 percent in 2001.

The consensus among most economists and sociologists studying remittance flows into the Philippines is that while permanent Filipino migrants tend to lose their affinity with the home country and subsequently choose to focus their investments in their new countries, OFWs are compelled to continue to send money back to their immediate families who still reside in the Philippines. Furthermore, temporary Filipino migrants are also driven to send remittances because a major portion of these amounts is seen as an investment in their own security once they eventually make their way back to their homeland. Raul, the vice president of international marketing at one major real estate corporation operating in twelve different countries, was quick to respond to my question about the differences between selling to permanent Filipino emigrants and to OFWs. "It's simple. OFWs have to return. So you know that they will want to have something to return to. Whether it's sending money back to their family or making payments on their new property, OFWs provide a very dependable market."

It is imperative to contextualize the ideological labor sustaining the balikbayan economy within the historically constructed global system, which eventually allowed the contact zone between American imperialism and the disparate regions of the Philippines to take shape. In this context, the structure of feelings—the historical practices of patronage and indebtedness underpinning Philippine socioeconomic culture—produced the originating pathway for the waves of Filipino labor migrants to the United States to maintain and sustain their connection to their families and hometowns in the Philippines even though permanently settling in the United States remained their ultimate dream. Eventually, these pathways were reincorporated into neoliberal projects to create a vast assemblage: global labor brokers, remittance-sending corporations, communication and media technologies, multinational property developers, and the circulation of various consumer goods would merge, intersect, and form the contemporary balikbayan economy. For this reason, a significant portion of the profits that continue to be made by sending Filipino labor abroad is reaped by the Philippines or, more specifically, a very concentrated and elite portion of the population who decides what direction the rest of the country will take.

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While Filipinos in the United States send money, microwaves, and entertainment systems back to take care of their families in the Philippines, the looming hope is that their imaginative/material labor is also securing an alternative future, not only for the families they support in the Philippines, but for themselves as well. Often, migration and its attendant consequences, like remittance sending, are assumed to take an asymmetrical shape. Historically, the United States has drawn out and exploited the brightest and most creative resources in the Philippines to tremendously benefit its militaristic, economic, and political endeavors. However, this conceptual emphasis, which privileges the unilateral transfer between the United States and the Philippines, does little to explain how an entire system of transnational circulation has persisted for over a century—and, more important, how Filipinos in the diaspora continue to envision return in a very real way.

Transnational Connectivities

Alongside popular Philippine *teleserye*, widely viewed television dramas similar to the Korean K-dramas or the *telenovelas* produced in Mexico, the transnational mediasphere linking Filipinos throughout the diaspora is regularly saturated by television commercials, print-media ads, and Internet pop-ups advertising remittance services and products. This transnationality reveals the contemporary shape of remittance-driven development mobilizing economies throughout the Global South, especially in the Philippines.

The cultural practices materializing obligation and reciprocity, central values for Filipinos, are made visible throughout Daly City in the United States. There are at least as many Philippine banks and remittance centers as Filipino-owned businesses in the city. These are examples of the proliferation and significance of these cultural commitments. Informal practices of remittance giving from Filipino business owners and church congregants to the Philippines through balikbayan boxes are just a few other examples. The entrepreneurship and investments produced by these transnational circulations of capital are shifting social relations and instigating transformation within sending nations (Levitt 2001).

Enhanced by technological innovations and more efficient modes of mobility, Filipinos are increasingly able to maintain connections to their homeland. Most important, these connections are sustained through the

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belief that the possibility of returning is quite real. The traces marking Daly City as a Filipino space, from the "meeting halls" of restaurants and bowling alleys to the slew of remittance centers, underscore how ethnoburban landscapes operate as hubs within the larger global economy.[4] In addition, these tracings allude to another question altogether: what might an American city look like if America is no longer the focal point anchoring everyday life but rather, as Catherine Ceniza Choy (2005) has it, an "extension of the Philippines"?

Carla Jimenez, a nurse who migrated to Daly City in 1982 from a small town in the province of Laguna, explains the unrelenting presence of familial obligations vividly tying her to her community back home.

> When I first arrived, I would send at least half of my paycheck to my parents [in Laguna] each month. If I had a little bit more, I would send my younger brother and sisters some as well. But most of the time, I expected my parents to distribute it equally. . . . There was no contract. There was no one to tell me that I had to do this, to give half of my paycheck. I just knew that it was expected. Yet even now, twenty years later, even though I was able to bring my whole family to the States, my parents, brother, sisters, and they were able to bring their families here because [my husband] and I came here first, I still receive phone calls from family members in the Philippines. Nephews will call asking for a lot of money to start a business. Distant relatives will ask for help to pay hospital bills. You know there isn't affordable health insurance for poor people in the Philippines, right? So [Filipinos in the United States] have to help with that a lot. I'm not complaining, I'm not saying that it's bad. It's just that sometimes my family does not realize that I'm not made out of money.

Carla's ambivalence points to the complexities of familial obligation and the ties perpetuating the uneven relationship between Filipinos in the United States and those in the Philippines. Carla's experiences help to make sense of how, over decades of migration from the Philippines, the circulation of financial resources between Daly City and the Philippines has transformed the built environment of Daly City and the social life of the Filipinos living there.

Throughout Daly City a host of remittance services are inconspicuously marked by exchange rates between the peso and dollar posted on their store windows or on makeshift signs on the sidewalk outside. Philippine banks,

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like the Philippine National Bank and Metrobank and their subsidiaries, compete with one another to garner a percentage of the remittances sent by Filipinos, whose household incomes are, on average, substantially higher than the median household income of other Americans in the United States. Remittance centers also seek to take advantage of the number of new Filipino immigrants who consistently filter through the neighborhood.

There are no concrete data tracking the real total of remittances sent to the Philippines because many of these remittances are transacted informally. Filipino grocery stores and small businesses sometimes informally send remittances. Emilio Manalapit, for example, one of the respondents I interviewed who arrived in the United States and struggled to find a full-time job for almost two years even though he held a engineering degree, explained how informal transactions provided by friends who owned a neighboring grocery store were essential to providing money to his family back home. "My friends had family in the same town where my family lived. I didn't have a good job for a long time. I couldn't send very much money back home. It was shameful. So my friends said, 'Help us with the store. You know, just small accounting things. Nothing really big. And we'll just send money for you because you're working here too.' So a portion of the money that they gave to their family was given to my family too." Other times, owners of Filipino businesses will do the work of remittance centers and, for an informal fee, "do favors" for their clients by transacting money themselves. Then there are the formal contracts that business owners will make with banks in the Philippines in order to provide remittance services along with selling their goods.

Along with the remittance centers, cargo-shipping companies like Johnny Air Cargo in St. Francis Square or the Philippine-owned LBC Express are scattered throughout Daly City. These international shipping companies specifically cater to a Filipino clientele and specialize in guaranteeing daily shipments of gifts and other material goods to the Philippines. Marisha Maas (2008, 136) describes how these "door-to-door" services, prevalent within cities even in the Netherlands, and the "diffused forms of solidarity and generalized forms of reciprocity that they encourage, are integral to the formation of the Filipino transnational community."

Respondents consistently mentioned that most of the remittances they send are not actually processed through remittance centers but conveniently transacted over the Internet through websites run by Western

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Union, MoneyGram, Xoom.com, and others. Rather than making their way to remittance centers, provided they are able to offer a limited amount of personal information and are willing to pay larger transaction fees, individuals can simply use their credit or debit cards to send money to Philippine banks or designated remittance centers almost anywhere in the Philippines. Roberto Cardenas describes his responsibility to his family in the Philippines by saying, "I'm the oldest in the family. That means that I'm the first person that my brothers, my sisters, and my parents call if they need money. I send one of them money at least every other month. Sometimes just fifty dollars, sometimes more. Not always a lot of money, but all of that builds up." Roberto and his wife, Rosemarie, met in the United States through friends. After Roberto found a permanent position working for the City of San Francisco as a civil engineer, he and Rosemarie bought a home in what was then the newer part of Daly City in 1986 and raised three children there. "We've had financial difficulties before. Maybe not as bad as now," Roberto explained while discussing the financial predicament that has forced them to sell their home. "But it never mattered. We've always sent money back to the Philippines."

At times, the obligation to send money can lead to friction between spouses, who may also be struggling to save money for their children's college tuition or to manage daily expenses. "I'm going to tell you something," Roberto whispers, directing his voice away from Rosemarie. "[Rosemarie] doesn't get along with my family. She doesn't like that I'm always sending money to them. But you know what, she sends as much money to her family." Rosemarie later told me that Roberto's family, most of whom still reside in Antipolo City just outside of Metro Manila in the province of Rizal, have consistently found it difficult to work over the years owing to an array of health problems and financial misdealing. Unlike Rosemarie's family, who have enjoyed a relatively higher level of affluence, Roberto's siblings have been forced to rely on their oldest sibling's success in the United States.

Similarly, Efren Padilla, a once hugely successful realtor who at one time owned two homes in California and one in Las Vegas, until he began falling deeper and deeper into debt as the larger economic crisis began to take shape in 2007, found remittances and the intertwining obligations around them extremely burdensome. For Padilla, familial obligations not only take the form of remittances but also involve the implications that come with sending money back to the Philippines.

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> It begins with sending money home. But what you are telling your family is that I am the caretaker of the family. I am the one who is responsible for their welfare. My younger brother and sisters did not bother to work in the Philippines. It's not because they were lazy. It's because they were just waiting to come here. So they never developed any skills while they were [in the Philippines]. They knew that once they came here, they would live with me and my family until they found a job. It's eleven years later, and they are all still living with us! I don't need them to give me the respect. To respect me even though I was the one who helped them to come [to the United States]. I would have liked it if they would contribute to the house by getting married or getting a job. But my wife is always reminding me, "This is your family. You're the oldest. You're the one with the means." So even though they don't know how bad things are right now, it still makes me happy to provide for them.

The significance that obligation entails remains vital within the lives of Filipinos throughout the diaspora, who see remittances as not only an obligation to their family members but one of the few ways they can have a tangible presence in the everyday lives of their family and community while living away from the Philippines. The Philippine banks and remittance centers inconspicuously located within the landscape of Daly City are vital clues that provide evidence of these commitments and struggles.

Locating Balikbayans

The homes, furniture, clothing, and electronics provided by the balikbayan economy are often referred to as *katas* or *gatas* among local Filipinos in the Philippines. They are the "juice" or "milk" produced by the "fruits" of overseas labor. When a teenager arrives at school and presents an iPhone to a growing number of gawking onlookers gathering around them, their friends might pose the question, "Gatas ng U.S. ba yan?" (That [juice] comes from the United States, right?). This query tends to be accompanied by a jumble of emotions: curiosity, jealousy, excitement, and resentment. The ambivalence behind these colloquial terms directly reflects the complexity of how balikbayans and OFWs are regarded in the Philippines. Just as kinship ties between Filipinos in the United States and their relatives in the Philippines are delicate, held together by the continuous stream of re-

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mittances, and precisely the much-coveted goods acquired through them, the national image of balikbayans in their homeland is similarly fragile. Diasporic Filipinos, particularly balikbayans, are tethered to the Philippines through a complicated system of financial dependency and imaginative labor.

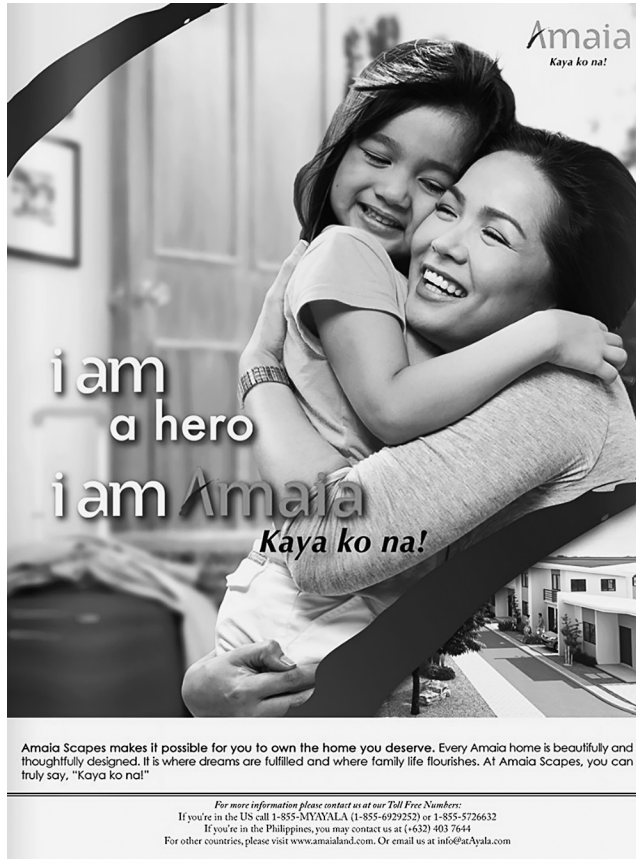
Rick Bonus (2000, 90), explains that "articulating the articulations" of immigrant identities demands a deep attention to the ways in which immigrants vacillate between producing spaces of belonging and being shaped by their attempt to gain access to social, material, and political resources. By virtue of the mobility that characterizes them, migrant identities are continually in flux and contingent on their everyday representations throughout the spaces they occupy. Their sheer presence challenges static notions delimiting national identities. The identities they fashion are shaped by pressures to conform and assimilate, compunctions to react and adhere to the standards delimited by the nations where they settle. At the same time, immigrant identities are also defined by the overt and subtle ways in which they confront and contest particular social norms and subsequently create new identities through their resistance.

Conversely, return migrants are challenged by an opposing force. They have already encountered the "immigrant moment." And through years and decades of settlement in a foreign world, the foreign has become familiar. In the midst of return, they must reconcile memories of the homeland to which they used to belong with the ways it has changed. Thus, while return migrants may, to differing degrees, cling to their old identities, they are now continually confronted by a homeland that recognizes them in a very different way. Because of this disjuncture, balikbayans resist definition, regardless of the legal and political discourse continuously seeking to fix them to a system of financial obligation and cultural indebtedness. Their identities, in both law and practice, are contingent on an ever-changing matrix of economic, geographic, and social conditions. Instead, balikbayans are often defined by their differences from OFWs.

While balikbayans are often conflated with OFWs in both legal and vernacular discourse, there are clear demarcations between the two groups. The primary distinguishing characteristics relate to how each group settled abroad and the time they have lived away from the Philippines. Whereas OFWs are defined by the temporary conditions set forth in labor contracts, balikbayans leave the Philippines without a due date for return. Filipinos keenly recognize how balikbayans are integral to the economy structuring

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FIGURE 2.1
Advertisement for Amaia Land in *Balikbayan*, 2013.



everyday life in the Philippines. Yet, unlike OFWs, who often toil abroad in grueling conditions, balikbayans are not perceived as "new heroes" struggling in the places where they settle. Along with employment in advanced economies, balikbayans often obtain citizenship in the countries where they settle. Therefore, since balikbayans do not fit within easily definable categories or political agendas, they have generally escaped scholarly examination. And when they are written about, they are often misrepresented.

One of the major reasons that balikbayans are often depicted as "ugly" or "vain" is that the literature indirectly juxtaposes them with the figure of the OFW. Unlike their balikbayan counterparts, who are capable of claiming the rights granted through the citizenship they gained from other countries, albeit in a contingent and differentiated fashion, OFWs cannot easily claim or assert their rights when working abroad (R. Rodriguez 2002; Parreñas

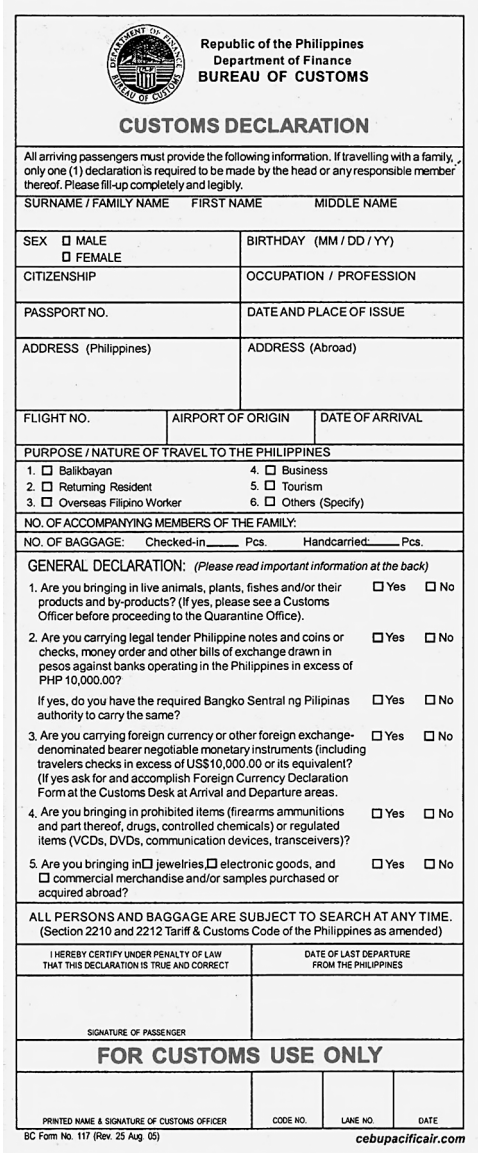
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2001b). By the very nature of their temporary status, the livelihood and safety of OFWs are intensely dependent on the arbitrary arrangements of the Philippine political system. The harrowing consequences produced by this liminality are further perpetuated by the Philippine state, which encodes Filipinos working abroad through the rhetoric of the *bagong bayani*, or modern-day hero.[5] The official language of migration transmitted by the Philippine state championing OFWs as "new heroes" functions to conceal the perpetual nature of this whimsicality, which continually endangers the general image of prosperity the state hopes to evoke. Likewise, by selecting OFWs as the symbol of Philippine migration, an array of critics are able to identify how the neoliberal state often chooses to safeguard its economic relationship with other countries rather than defending the rights of citizens who encounter human or labor rights violations in their country of employment (Ong 2006).[6] Although, on the surface, the Philippine state has espoused a rhetoric of protecting the rights of OFWs around the world, even passing Migrant Workers and Overseas Filipinos Act or Republic Act No. 8042 in June 7, 1995, which would apparently concretize the government's commitment to protecting the rights and promoting the welfare of migrant workers, their families, and other overseas Filipinos in distress, numerous cases of assault and murder of OFWs have been met with few repercussions on the side of the Philippine government (Guevarra 2010).

These highly publicized cases involving abuse of domestic workers, especially those working in Asia and the Middle East, have become crucial cases to thrust these debates into the political and intellectual arena. The OFWs, who are often cast as acutely vulnerable "victims" and a highly exploitable group of "low-skilled" laborers regardless of their diverse backgrounds, function as a prototypical case for the prevailing discourses on globalization, transnationalism, and global connectivity. The political and economic significance represented by their laboring bodies acts as a tool to champion and distinguish the Philippine state within the global market and, likewise, to pose critical interventions necessary for disrupting the dominant logic of global capitalism. These cases and the vast assemblages of government and corporate agencies responsible for regulating and financing this "brain drain" have had a significantly gendered effect on the labor market produced by OFWs. Rhacel Salazar Parreñas (2008) argues that practices and policies around Philippine migration generally operate through the "force of domesticity," a persistent ideology that continually relegates women to forms of reproductive labor within the global economy.

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FIGURE 2.2
Customs declaration form completed by visitors to the Philippines, which includes six categories for purpose of visit, including "Balikbayan" and "Overseas Filipino Worker," 2011.



Republic of the Philippines
Department of Finance
BUREAU OF CUSTOMS

CUSTOMS DECLARATION

All arriving passengers must provide the following information. If travelling with a family, only one (1) declaration is required to be made by the head or any responsible member thereof. Please fill-up completely and legibly.

SURNAME / FAMILY NAME | FIRST NAME | MIDDLE NAME

SEX ☐ MALE ☐ FEMALE | BIRTHDAY (MM / DD / YY)

CITIZENSHIP | OCCUPATION / PROFESSION

PASSPORT NO. | DATE AND PLACE OF ISSUE

ADDRESS (Philippines) | ADDRESS (Abroad)

FLIGHT NO. | AIRPORT OF ORIGIN | DATE OF ARRIVAL

PURPOSE / NATURE OF TRAVEL TO THE PHILIPPINES

1. ☐ Balikbayan
2. ☐ Returning Resident
3. ☐ Overseas Filipino Worker
4. ☐ Business
5. ☐ Tourism
6. ☐ Others (Specify)

NO. OF ACCOMPANYING MEMBERS OF THE FAMILY:

NO. OF BAGGAGE: Checked-in____ Pcs. Handcarried:____ Pcs.

GENERAL DECLARATION: *(Please read important information at the back)*

1. Are you bringing in live animals, plants, fishes and/or their products and by-products? (If yes, please see a Customs Officer before proceeding to the Quarantine Office). ☐ Yes ☐ No
2. Are you carrying legal tender Philippine notes and coins or checks, money order and other bills of exchange drawn in pesos against banks operating in the Philippines in excess of PHP 10,000.00? ☐ Yes ☐ No
   If yes, do you have the required Bangko Sentral ng Pilipinas authority to carry the same? ☐ Yes ☐ No
3. Are you carrying foreign currency or other foreign exchange-denominated bearer negotiable monetary instruments (including travelers checks in excess of US$10,000.00 or its equivalent? (If yes ask for and accomplish Foreign Currency Declaration Form at the Customs Desk at Arrival and Departure areas. ☐ Yes ☐ No
4. Are you bringing in prohibited items (firearms ammunitions and part thereof, drugs, controlled chemicals) or regulated items (VCDs, DVDs, communication devices, transceivers)? ☐ Yes ☐ No
5. Are you bringing in☐ jewelries,☐ electronic goods, and ☐ commercial merchandise and/or samples purchased or acquired abroad? ☐ Yes ☐ No

ALL PERSONS AND BAGGAGE ARE SUBJECT TO SEARCH AT ANY TIME.
(Section 2210 and 2212 Tariff & Customs Code of the Philippines as amended)

I HEREBY CERTIFY UNDER PENALTY OF LAW THAT THIS DECLARATION IS TRUE AND CORRECT | DATE OF LAST DEPARTURE FROM THE PHILIPPINES

SIGNATURE OF PASSENGER

FOR CUSTOMS USE ONLY

PRINTED NAME & SIGNATURE OF CUSTOMS OFFICER | CODE NO. | LANE NO. | DATE

BC Form No. 117 (Rev. 25 Aug. 05)

cebupacificair.com

The juxtaposition of OFWs and balikbayans is further complicated by the gendered exploitation of Filipino women, who constitute a disproportionate percentage of contracted overseas Filipino laborers. Just as the gendered effects of labor production and migration often relegate both women and men to particular gendered roles and compel individuals to discipline

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themselves and those around them according to the larger logic of domesticity, projects of nation-state building often attempt to replicate this logic in an expanded form and refashion the boundaries around citizenship through the same logic.[7] The nation-building project constituted by the logic of domesticity is often transmitted through the future-oriented language of parenting and responsibility. Kathleen Weekley (2004), for example, discusses how migrant workers in Hong Kong are induced through a logic of domesticizing governmentality to envision themselves as entrepreneurs and "stakeholders" rather than simply workers who are providing for their families back in the Philippines. The Philippines Overseas Employment Administration has instituted policies that force OFWs to pay percentages of their remittances to the Philippine government and labor brokers. Subsequently, "training programs" have been initiated to educate OFWs on how to manage their finances and act "responsibly."

At the same time, there are no political or legal regulations obligating Filipinos who settle abroad to pay taxes or contribute portions of their income to the Philippine government. Along with the normal rights assumed by any citizen of the Philippines, there are critical incentives for balikbayans to claim dual citizenship, including the ability to purchase property and establish a business in their homeland or pay taxes to the Philippine government unless the income is derived from business in the Philippines. And while the Philippine Supreme Court recently upheld its decision to deny dual citizens the ability to run for elected office in 2003, balikbayans are still capable of directly impacting the political sphere in the Philippines through their right to vote. For these reasons, apart from a handful of mechanisms including the SRRV (discussed further in chapter 6), tourism programs specifically catering to balikbayans, and the Philippine customs declaration form haphazardly collected by agents at Ninoy Aquino International Airport (see figure 2.2), there remains no institutionalized system for calculating the number of balikbayans who enter the country each year and, more important, remain in the Philippines. This inability to track the mobility of balikbayans also contributes to their lack of attention in scholarship. Yet balikbayans are indeed integral to the economy of the Philippines.

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